

The Market Has Priced Out Doubt

What to make of a volatility index near its floor on the morning of an event with no precedent to average.

THE READING

The S&P 500 closed Thursday at 7,730.99, up 0.72 per cent. Ten of its eleven sectors fell. The equal-weight version of the same index fell 0.30 per cent and the NYSE Composite, the broadest measure of the American tape, fell 0.38 per cent. NVIDIA rose 8.74 per cent and added \$443bn of market value; at a 7.3 per cent weight that one position supplied roughly 0.64 of the index's 0.72 points.

Meanwhile the VIX closed at 14.50, down 4.73 per cent and 1.12 points above its 52-week low, near the floor of its 14.07–16.37 range. The thirty-year yield sits at 5.195 per cent. Kevin Warsh gives his first Jackson Hole address at 22:00 tonight, Hong Kong time.

WHAT WISDOM WOULD SAY

Montaigne took a question for his motto — *Que sais-je?*, what do I know? — and spent the Essays showing that the confidence a person feels is a poor guide to what that person has grounds for. In *Of Cripples* he put it flatly: it is rating our conjectures very highly to roast a man alive on their account. Conviction arrives with a sensation of certainty attached, and that sensation is manufactured by the mind rather than delivered by the evidence.

A volatility index is a price on that sensation. At 14.50 the market is not forecasting what Warsh will say. It is stating how sure it is that whatever he says will not matter. There is no base rate for a new chairman's first Jackson Hole speech — one instance, no series. Whatever is producing the calm, it is not the data, because on this question there is none.

THE RISK IT JUSTIFIES

The consequence is narrow, and it concerns the price of insurance rather than direction. Selling volatility this morning means being paid 14.50 to underwrite an event that has not happened before, with 1.12 points of room to the year's low beneath and the whole of the range above. The payoff is capped, and the reason it is capped is that everyone else has already reached the same conclusion.

Adding index exposure on the strength of Thursday has a related problem: it means buying an average that ten of eleven sectors did not produce, into a close 70 points below a ceiling that was cut 18 points on the same day. Sitting still costs one session, and it should be chosen out loud rather than arrived at by default.

What would change it: a close back above the 16.37 top of the volatility band, which would mean doubt had been repriced and the asymmetry spent. Or breadth — the NYSE Composite and the equal-weight index rising alongside the headline rather than against it.

What would I have to see today to know that my calm is a judgement and not a mood?